Economics
March 10, 2026

Small Business Optimism Adjusts Lower in February

Revenue and Sales Strength Offset by Lower CapEx and Hiring

Economic Indicator

Economist(s)


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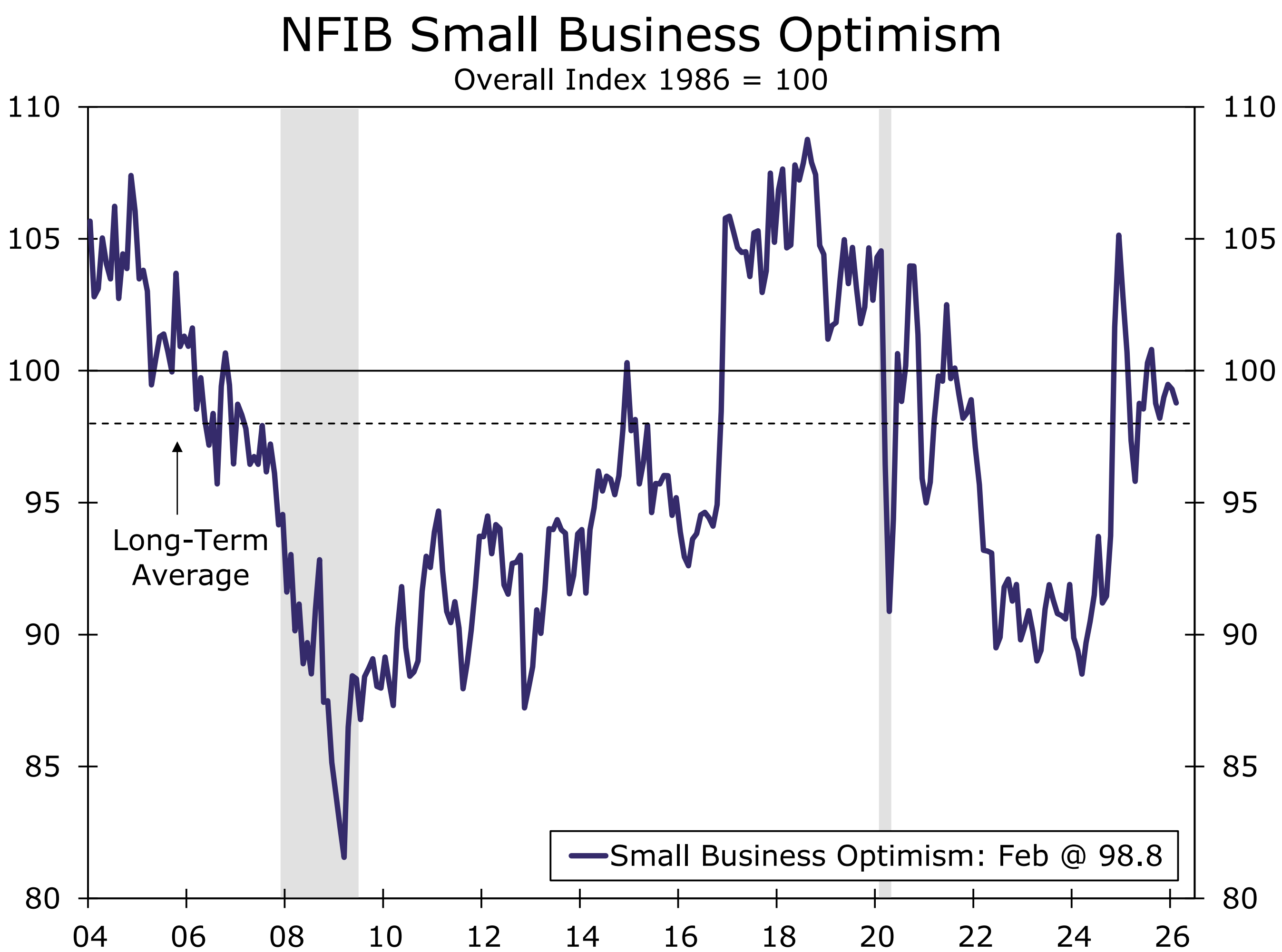
Small Business Outlooks Remain Healthy Despite Dip in Optimism

Small business optimism fell for the second consecutive month in February as firms reevaluated their capex plans. Hiring plans also moved lower, a deterioration seemingly driven by weak worker demand as opposed to scarce worker supply. The share of firms referencing labor quality as their top problem slipped to 15% in February, marking the lowest share since April 2020.

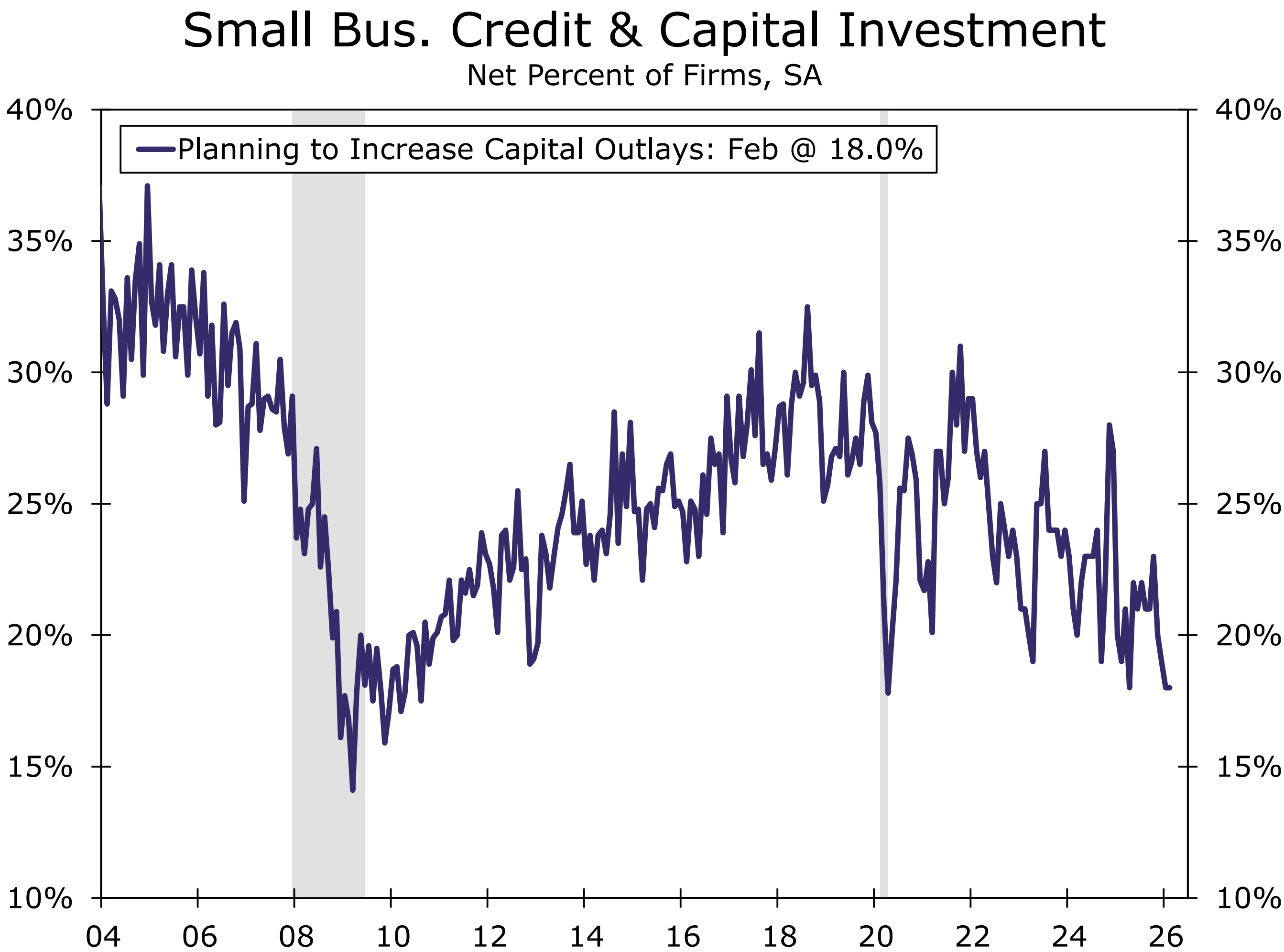
Despite evidence of ongoing labor market weakness, small firms' economic outlooks remained largely unchanged and were generally constructive. A net 15% of owners indicated that current economic conditions are favorable for business expansion and 18% expected favorable conditions over the next six months. Both of those measures are elevated over the average trend since the pandemic. Strong earnings and sales appeared to be the primary drivers, illuminating the growing gap between labor market performance and overall economic health.



Source: NFIB and Wells Fargo Economics

Capex

A readjustment in capital expenditures was the primary drag on small business optimism. After rising four points in January, the net share of firms making capital outlays fell back six points in February. The prevalence of future capex plans was meanwhile unchanged at 18%. Although historically weak, the sideways movement in capex plans implies a relatively more stable appetite for business investment.



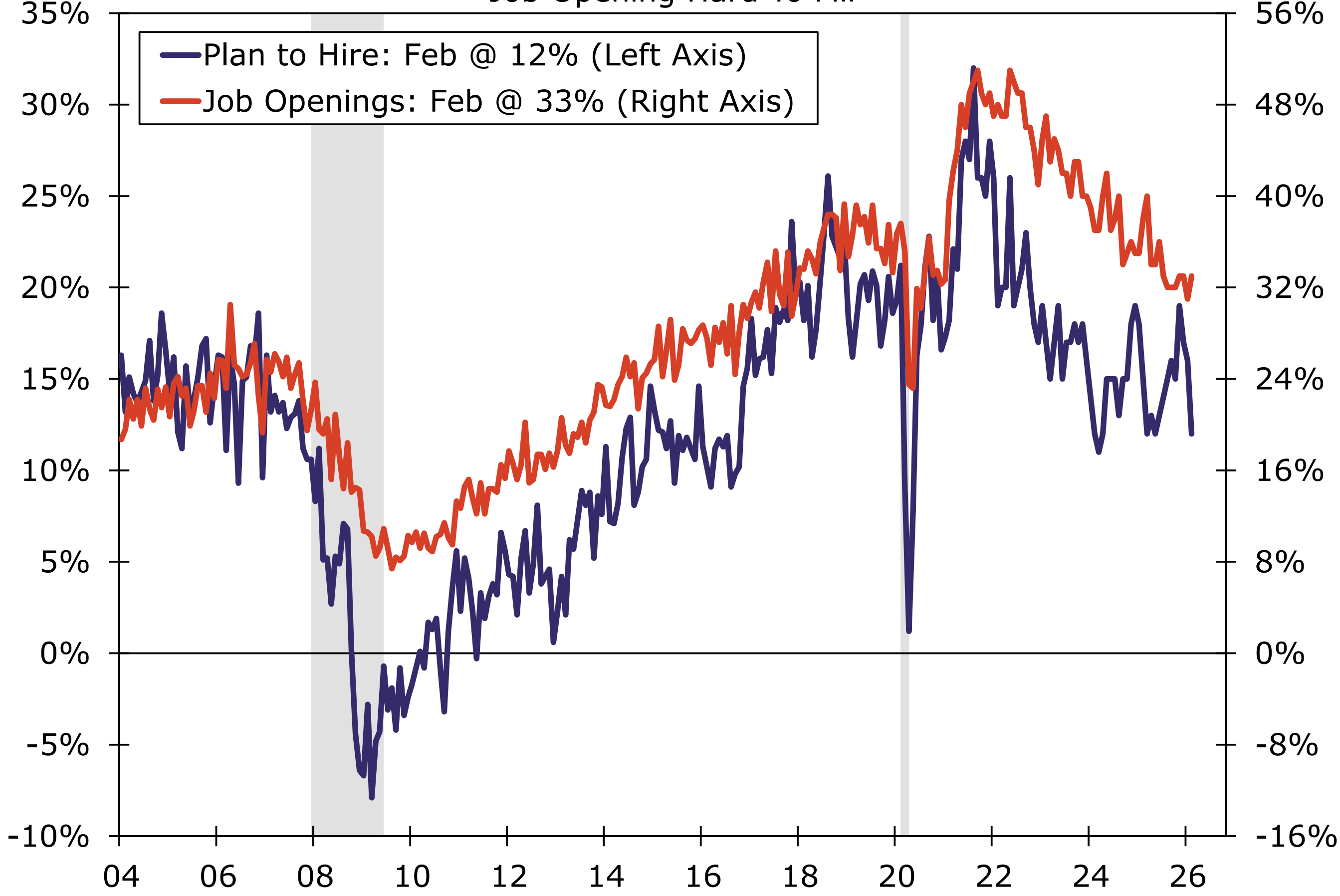
Source: NFIB and Wells Fargo Economics

Labor Market

Small business hiring plans deteriorated in February, providing additional evidence that hiring is likely to remain muted over the near term. A net 12% of small firms intended to hire over the next three months, down from 16% in January and the lowest reading since May 2024. Job openings ticked up slightly to 33% but also remained historically weak.

Small Business Hiring

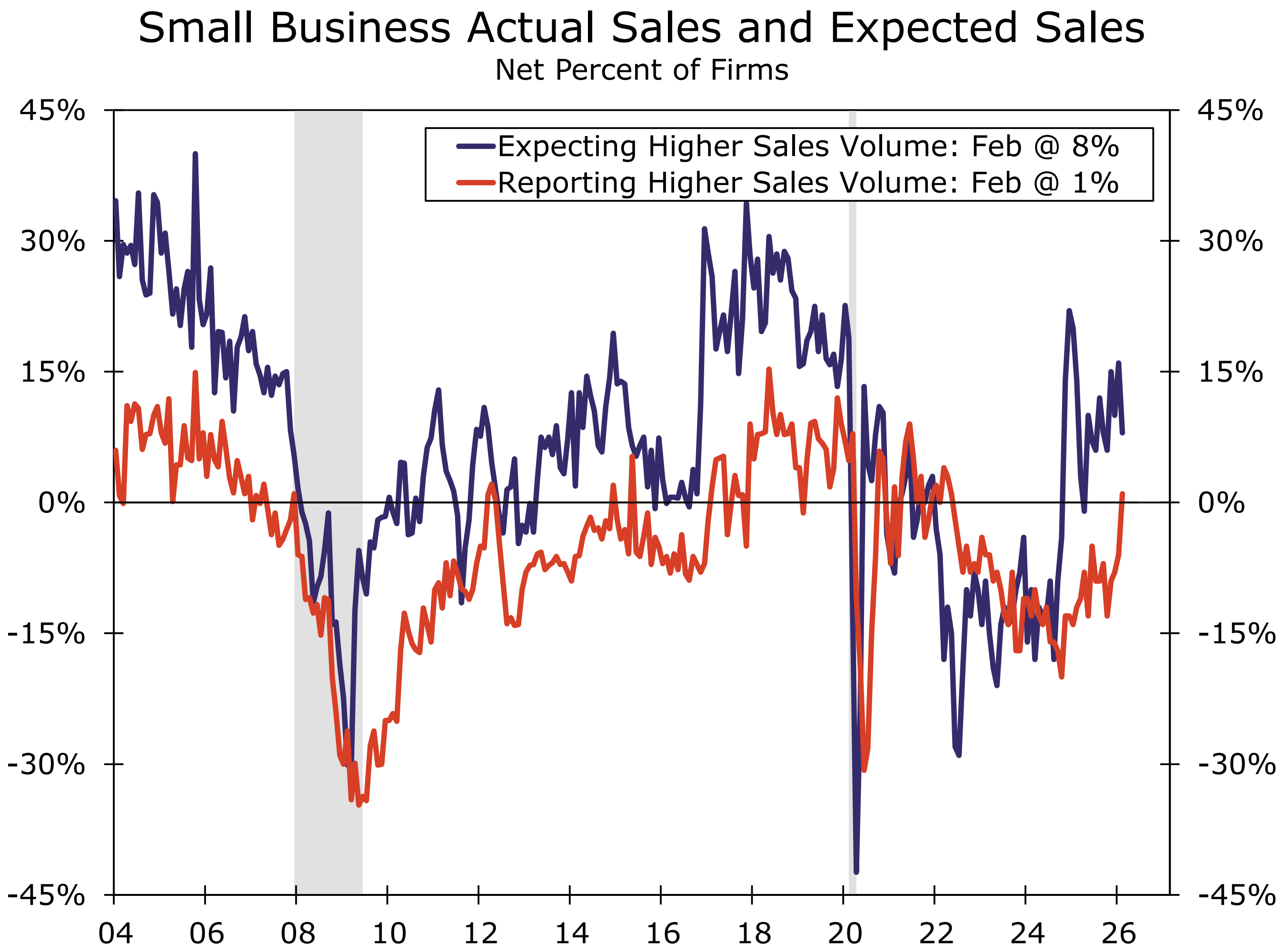
Net % of Firms That Plan to Hire in Next Three Months; Firms With a Job Opening Hard To Fill



Source: NFIB and Wells Fargo Economics

Sales

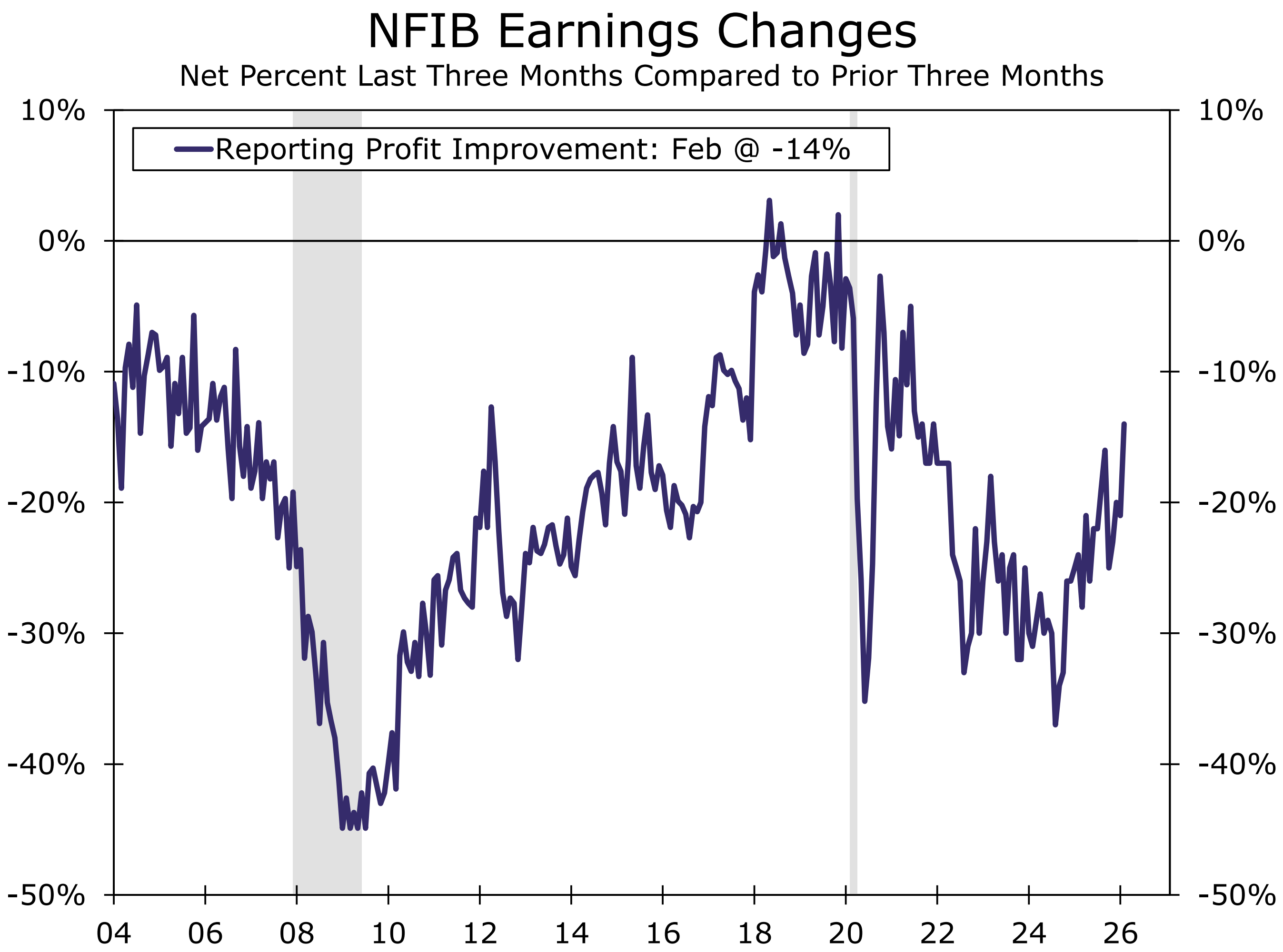
In contrast to the decline in the headline optimism index, small firms' sales broadly improved in February. The net share of firms reporting an increase in sales over the past three months moved into positive territory for the first time since May 2022. Sales expectations slipped but remained solidly positive, bringing these two series back into closer alignment.



Source: NFIB and Wells Fargo Economics

Earnings

Small business earnings also shot up in February. The net percent of firms reporting an uptick in post-tax income jumped seven points to -14%. Although still negative on net, this indicator is sitting at its highest point since December 2021.



Source: NFIB and Wells Fargo Economics

Inflation

Small business inflation appears stuck in a holding pattern. A net 24% of small firms raised prices and 28% planned to raise prices, remaining elevated over historic norms. While each declined slightly compared to January, these inflation indicators have essentially moved sideways over the past year.

Source: NFIB and Wells Fargo Economics

Economic Outlook

Economic outlooks were little changed in February, dipping slightly from the month prior but remaining far brighter than recent norms. Despite a broadly negative tone in industry comments, many of which highlighted higher costs for physical inputs, labor and healthcare, it appears that outlooks from small business owners align with our own expectations for economic expansion over the next year.

Source: NFIB and Wells Fargo Economics

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All estimates/forecasts are as of 3/10/2026 unless otherwise stated. 3/10/2026 9:50:42 EDT.

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